

From Operational Problems to Organizational Performance

A Practical Framework for Business Owners and Management Teams

Published by Forisa Abadijaya Sejahtera (FAS) • Advisory Practice

EXECUTIVE SUMMARY

Business problems rarely come from a single source. Declining performance, inconsistent execution, high employee turnover, unclear accountability, slow decision-making, and operational inefficiencies are often symptoms of deeper organizational issues.

Many organizations respond by fixing visible symptoms—pushing sales teams when revenue drops or adding more rules when operational errors rise. A sustainable business improvement approach requires management to look beyond individual problems and examine the broader organizational system.

Strategy → Organization → People → Process → Performance → Governance

01. THE REALITY BEHIND BUSINESS PROBLEMS

When business performance declines, management often asks: “**Who is responsible?**” A more useful question is: “**What in our system allows this problem to happen repeatedly?**”

For example, poor employee performance or operational inefficiency may originate from a chain of systemic failures:

People & Supervision Factors

- Unclear job responsibilities and authority
- Unrealistic or poorly designed KPIs
- Inadequate supervision and coaching
- Weak recruitment criteria or training

System & Process Factors

- Unclear processes leading to unclear ownership
- Delayed decisions and inconsistent execution
- Ineffective incentive alignment
- Inconsistent management practices

02. THE BUSINESS IMPROVEMENT CHALLENGE

Organizations typically face five interconnected challenges that reinforce each other:

1. Strategy–Execution

Strategic objectives are not consistently translated into operational priorities.

2. Accountability Gap

People have responsibilities, but decision rights and authority are unclear.

3. Capability Gap

Employees are expected to perform without adequate organizational capability.

4. Process Gap

5. Governance Gap

03. FROM PEOPLE PROBLEM TO SYSTEM PROBLEM

Treating every performance problem as a people problem is a common management error. Consider a scenario where sales performance falls below target:

Diagnostic Checklist: Beyond Sales Underperformance

- **Target:** Is the target realistic and properly distributed?
- **People:** Does the team have required capabilities?
- **Activity:** Are required sales activities executed?
- **Process:** Is there an effective sales process?
- **Leadership:** Are managers monitoring & coaching?
- **Market:** Have customer behaviors changed?
- **Measurement:** Are KPIs measuring the right metrics?

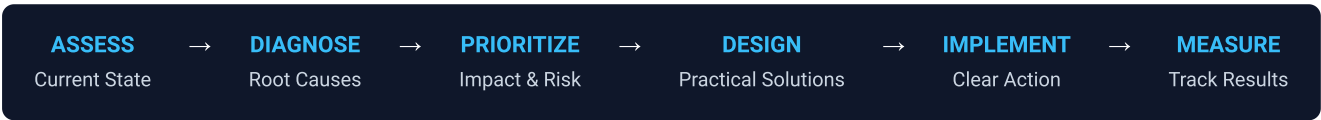
04. THE BUSINESS IMPROVEMENT FRAMEWORK

FAS uses an integrated framework built around six interconnected dimensions:



05. THE BUSINESS IMPROVEMENT LOOP

Business improvement should operate as a continuous cycle rather than a one-time project:



06. FINDING THE ROOT CAUSE

An effective improvement process distinguishes between Symptoms, Problems, and Root Causes:

Level	Example Condition	Management Intervention
Symptom	Sales performance is below target.	Pressuring sales team to work harder (Inflexible/Short-term).
Problem	Sales conversion rates are inconsistent across team.	Standardizing activity tracking and pipeline reporting.
Root Causes	Unclear activity standards, weak prospecting, lack of coaching, or inappropriate KPI design.	Systemic fix: Redesigning sales management, coaching routines, and KPI structures.

07. PRIORITIZING IMPROVEMENT INITIATIVES

Management can evaluate and prioritize initiatives across four key criteria:

1. Business Impact Degree of effect on revenue, cost, productivity, customer experience, or continuity.	2. Organizational Risk Potential financial, operational, governance, or compliance exposure.
3. Urgency Time-sensitivity of addressing the gap before further operational deterioration.	4. Feasibility Realistic capacity of the organization to execute and sustain the change.

08. MEASURING BUSINESS IMPROVEMENT

Dimension	Sample Measurable Indicators
Financial	Revenue growth, Gross margin improvement, Operating cost efficiency, Cost-to-sales ratio.
People	Employee turnover, Absenteeism, Productivity per employee, Recruitment success rate.
Operational	Process cycle time, Error rates, Customer complaint frequency, Service level agreement (SLA) attainment.
Governance	Policy compliance rate, Escalation frequency, Control effectiveness, Decision turnaround time.

09. THE ROLE OF LEADERSHIP

Systems require leadership discipline to become effective. Leaders determine whether accountability is enforced, policies are consistently applied, and data is used for decision-making.

- A new SOP will not solve a governance problem if leaders routinely bypass it.
- A new KPI will not improve performance if managers do not actively review it.
- A training program will not build capability if the workplace culture discourages application.

10. A PRACTICAL 90-DAY IMPROVEMENT ROADMAP

A structured approach starts with four distinct stages across 90 days:

DAYS 1–30 ASSESS & DIAGNOSE

Review structure, key HR & operational data, critical processes, governance gaps, and conduct management interviews to establish baseline measurements.

DAYS 31–60 DESIGN & IMPLEMENT

Prioritize initiatives, clarify roles/authority, revise KPIs, streamline critical SOPs, establish accountability mechanisms, and begin capability interventions.

DAYS 61–90 MEASURE & STABILIZE

Track results, review execution consistency, address remaining gaps, establish routine review mechanisms, and define the next improvement cycle.

11. THE BUSINESS IMPROVEMENT CHECK

Before launching major initiatives, management teams should evaluate these six questions:

Strategy: Are we solving a problem that actually matters to the business?

Organization: Does our structure support what we are trying to achieve?

People: Do our people have the capabilities required?

Process: Does the current process enable or obstruct performance?

Performance: Are we measuring the right metrics?

Governance: Are decision authority and accountability clear?

12. FAS PERSPECTIVE

Business improvement is not about making an organization more complicated. It is about making the organization clearer, more accountable, more capable, and more effective.

"When a business faces recurring problems, the first question should not always be 'Who is the problem?' Ask instead: 'What does our organization need to change so that the problem does not keep repeating?'"

ABOUT FORISA ABADIJAYA SEJAHTERA (FAS)

Forisa Abadijaya Sejahtera (FAS) is a business improvement and organizational advisory practice focused on helping organizations strengthen the connection between Governance, People, Risk, Compliance, Leadership, and Performance.

GOVERNANCE • PEOPLE • PERFORMANCE • IMPACT